

R&D Offshoring: Development Dimension

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Debates

- Effects of R&D Offshoring
- Determinants of R&D Offshoring

MNC: North & South Markets

- Max $\Pi = \Pi_N(R_N) + \Pi_S(R_S)$
 R_N, R_S
subject to $w_N R_N + w_S R_S = \bar{R}$
- F.O.C. $\frac{\Pi_N'}{w_N} = \frac{\Pi_S'}{w_S}$
- Assume $\Pi_N(R_N) = A_N \sqrt{R_N}$ and $\Pi_S(R_S) = A_S \sqrt{R_S}$
- Optimal Ratio $\frac{R_N}{R_S} = \left(\frac{w_S}{w_N} \right) \left(\frac{A_N}{A_S} \right)^2$

Development Perspectives

- Impact of Offshore R&D on Southern Economic Development
- Induced Changes in Southern Institutions
 - Intellectual Property Rights
 - Case of China & India
- Feedback on Northern Innovation
 - Expansion in $\bar{R}$